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23-CIV-03335

WILLIAM ROGERS, ET AL VS. TRANSITAMERICA SERVICES, INC., ET AL

WILLIAM ROGERS
TRANSITAMERICA SERVICES, INC.

MICHAEL A. KELLY
STEPHANIE L QUINN

DEFENDANT BALFOUR BEATTY INFRASTRUCTURE, INC.'S DEMURRER TO TRANSITAMERICA SERVICES INC., HERZOG TRANSIT SERVICES, INC. AND PENINSULA CORRIDOR JOINT POWERS BORAD'S CROSS-COMPLAINT

TENTATIVE RULING:

For the reasons stated below, Cross-Defendant Balfour Beatty Infrastructure, Inc.'s ("BBII") Demurrer to the October 7, 2025 Cross-Complaint is **SUSTAINED IN PART and OVERRULED IN PART**.

REQUEST FOR JUDICIAL NOTICE

BBII's Request for Judicial Notice ("RJN") is **GRANTED** as to the existence and filing of the Complaint and Cross-Complaint. (Evid. Code, § 452, subd. (d).) The Court does not take judicial notice of the truth of disputed factual allegations contained in those pleadings.

As to Exhibits 3 through 5—the court-filed declarations of Ashcon Minoiefar, William Motherway, and William Bogdan, together with their attachments—the Court takes judicial notice only of the fact that the documents were filed in this action. The Court does not take judicial notice of the truth of the factual assertions contained in the declarations, incident report, correspondence, photographs, or other attachments, nor does it adopt BBII's characterization or interpretation of those materials.

Although a court may judicially notice the existence of documents contained in a court file, judicial notice of a document does not establish the truth of disputed factual assertions contained within it. (*People v. H.A.S. Ins. Brokerage* (1986) 184 Cal.App.3d 369, 374–375; see also *Sosinsky v. Grant* (1992) 6 Cal.App.4th 1548, 1564–1569.) A demurrer tests the legal sufficiency of the pleading and may not be converted into an evidentiary hearing through judicial notice of documents whose truth or proper interpretation is disputed. (*People v. H.A.S. Ins. Brokerage, supra*, at pp. 374–375.)

Accordingly, BBII's RJN as to Exhibits 3 through 5 is **GRANTED only as to the existence and filing of those documents and otherwise DENIED**.

BBII'S DEMURRER TO THE FIFTH THROUGH EIGHTH CAUSES OF ACTION

BBII demurs to the Fifth Cause of Action for implied indemnity, Sixth Cause of Action for comparative equitable indemnity, Seventh Cause of Action for contribution, and Eighth Cause of Action for declaratory

relief on the ground that those claims are precluded by Cross-Complainants' assertion of an express contractual indemnity claim.

The demurrer on this ground is **OVERRULED**.

Parties generally may plead alternative, and even inconsistent, theories of recovery. (*Mendoza v. Continental Sales Co.* (2006) 140 Cal.App.4th 1395, 1402.) That principle is particularly pertinent here because the scope and applicability of the alleged contractual indemnity provision have not yet been determined.

California recognizes that when parties have expressly contracted concerning indemnity, the agreement controls their indemnity rights **within the scope of the agreement**. (*Rossmoor Sanitation, Inc. v. Pylon, Inc.* (1975) 13 Cal.3d 622, 628; *E. L. White, Inc. v. City of Huntington Beach* (1978) 21 Cal.3d 497, 507–508.) But an express indemnity provision has preemptive effect only within the scope of its operation. Where the contractual indemnity obligation is inapplicable to the particular factual circumstances, equitable indemnity principles may apply. (*E. L. White, Inc., supra*, at pp. 507–508.)

Indeed, *E. L. White* addressed this issue following the sustaining of a demurrer and rejected the contention that the existence of an express indemnity provision necessarily foreclosed an implied indemnity claim where the contractual provision did not apply to the particular loss. (*Id.* at pp. 503–504, 507–510.)

Similarly, *Maryland Casualty Co. v. Bailey & Sons, Inc.* (1995) 35 Cal.App.4th 856 recognizes that an express indemnity provision may preclude equitable indemnity to the extent the contract governs the loss, while permitting equitable indemnity where the contractual provision does not apply. (*Id.* at pp. 873–879.)

At this pleading stage, the Court cannot determine that the contractual indemnity provision necessarily governs all of the circumstances giving rise to the underlying action. Cross-Complainants therefore may plead contractual and equitable theories in the alternative. Whether they may ultimately recover under any particular theory is a separate question not resolved on demurrer.

Accordingly, BBII's demurrer to the Fifth, Sixth, Seventh, and Eighth Causes of Action on this ground is **OVERRULED**.

BBII'S DEMURRER TO THE THIRD CAUSE OF ACTION FOR NEGLIGENCE

BBII contends that Cross-Complainants' negligence claim is barred by the economic loss rule. The Court agrees that the Third Cause of Action, as presently pleaded, fails to state an independent negligence claim.

The economic loss rule generally precludes recovery in negligence for purely economic losses—financial harm unaccompanied by physical injury or property damage to the party asserting the tort claim. (*Sheen v. Wells Fargo Bank, N.A.* (2022) 12 Cal.5th 905, 922; *Aas v. Superior Court* (2000) 24 Cal.4th 627, 635–636.)

Cross-Complainants argue that the economic loss rule does not apply because the underlying action involves both physical injury to Plaintiff William Rogers and alleged physical harm to the Oregon Expressway Bridge. Neither circumstance, as presently alleged, is sufficient to state Cross-Complainants' direct negligence claim.

First, Rogers’s personal injuries are not personal injuries sustained by Cross-Complainants. The Third Cause of Action alleges that BBII’s negligence caused or contributed to the damages and injuries asserted by Plaintiffs in the underlying action and seeks to shift to BBII losses for which Cross-Complainants may be held liable. As pleaded, Cross-Complainants’ resulting injury is financial.

That does not prevent Cross-Complainants from pursuing otherwise viable indemnity theories based on BBII’s alleged responsibility for Rogers’s injuries. It does, however, mean that Rogers’s bodily injury does not itself constitute physical injury sustained by Cross-Complainants for purposes of their separate negligence cause of action.

Second, the Cross-Complaint does not sufficiently allege actual physical damage to property giving rise to compensable damages sought by Cross-Complainants. Paragraph 11 alleges that BBII performed work that “may have compromised or otherwise affected the bridge structure.” Paragraph 32 similarly alleges that BBII performed work that “may have compromised or otherwise affected the bridge structure” and thereby resulted in the damages and injuries alleged by Plaintiffs in the underlying action. (XC, ¶¶ 11, 32.)

Those allegations do not allege that BBII actually caused physical damage to the bridge, identify the physical damage allegedly sustained, or allege that Cross-Complainants incurred damages to repair or remediate physical damage to the bridge. Instead, the pleaded damages are the losses arising from Plaintiffs’ underlying personal-injury claims.

Accordingly, the Third Cause of Action, as presently alleged, seeks economic losses without sufficiently alleging physical injury or property damage sustained by Cross-Complainants and is barred by the economic loss rule. (*Sheen v. Wells Fargo Bank, N.A.*, *supra*, 12 Cal.5th at p. 922; *Aas v. Superior Court*, *supra*, 24 Cal.4th at pp. 635–636.)

BBII’s demurrer to the Third Cause of Action is therefore **SUSTAINED WITH LEAVE TO AMEND**.

STATUTE OF LIMITATIONS

BBII separately argues that any negligence claim based on physical damage to the bridge is barred by the three-year limitations period applicable to injury to real property. (Code Civ. Proc., § 338, subd. (b).)

The Court does not sustain the present Third Cause of Action on this additional ground.

A demurrer based on the statute of limitations may be sustained only where the time bar appears clearly and affirmatively from the face of the pleading and matters properly subject to judicial notice. (*Committee for Green Foothills v. Santa Clara County Bd. of Supervisors* (2010) 48 Cal.4th 32, 42.) If the pleading merely shows that the action might be barred, the issue cannot be resolved on demurrer. (*Ibid.*)

Here, the present Cross-Complaint does not adequately allege a direct property-damage claim in the first instance. Because the Court is granting leave to amend, it is unnecessary to determine the accrual date of a property-damage claim that has not yet been sufficiently alleged.

If Cross-Complainants amend to allege actual physical damage to property and the amended pleading demonstrates on its face that the claim accrued outside the applicable limitations period, Cross-Complainants

must plead any basis for delayed discovery with sufficient facts, including the time and manner of discovery and facts showing why the claim could not reasonably have been discovered earlier despite reasonable diligence. (See *Fox v. Ethicon Endo-Surgery, Inc.* (2005) 35 Cal.4th 797, 807–808.)

The Court therefore does not sustain the demurrer on statute-of-limitations grounds at this stage, without prejudice to BBII raising the issue against any amended pleading.

CONTRACTUAL DISPUTE-RESOLUTION PROCEDURE

BBII also contends that the negligence claim is barred because Cross-Complainants failed to comply with the contractual dispute-resolution procedure before filing suit.

This argument does not provide an independent basis for sustaining the demurrer.

The contract attached to the Cross-Complaint provides in GP 15.2 that, except for specified “Ineligible Matters,” disputes between the parties are subject to the contractual dispute-resolution procedure. GP 15.2.4 identifies among the excluded matters “[a]ny claim arising solely in tort” and “[a]ny matters relating to the scope or applicability of indemnification provided under the Contract Documents.” (XC, Ex. 2, CALT 002054, 002056.)

The Third Cause of Action is pleaded as a negligence claim sounding in tort. The face of the attached agreement therefore does not establish that this cause of action was necessarily subject to the contractual dispute-resolution procedure.

Moreover, a demurrer reaches defects appearing on the face of the pleading or from matters properly subject to judicial notice. (Code Civ. Proc., § 430.30, subd. (a); *Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) The Cross-Complaint does not establish that Cross-Complainants failed to satisfy an applicable contractual dispute-resolution requirement, and disputed factual questions concerning compliance, waiver, or applicability cannot be resolved on demurrer.

Finally, BBII principally seeks a **stay** pending completion of the contractual procedure. Such relief does not establish that the Third Cause of Action fails to state facts sufficient to constitute a cause of action.

Accordingly, the Court does not sustain the demurrer on this ground.

BBII’S CO-INSURED ARGUMENT DOES NOT ESTABLISH A BASIS FOR DEMURRER

BBII further argues that the entire Cross-Complaint is barred because Cross-Complainants and BBII allegedly are insured under the same owner-controlled insurance program (“OCIP”).

The argument does not establish a basis for sustaining the demurrer.

BBII relies principally on *St. Paul Fire & Marine Insurance Co. v. Murray Plumbing & Heating Corp.* (1976) 65 Cal.App.3d 66 and *National Union Fire Insurance Co. v. Engineering-Science, Inc.* (9th Cir. 1989) 884 F.2d 1208. Those decisions concern the anti-subrogation principle restricting an **insurer** from pursuing subrogation

against its own insured or co-insured for a loss covered by the applicable policy. (*St. Paul, supra*, at pp. 74–76; *National Union, supra*, at pp. 1209–1211.)

The Cross-Complaint before the Court is not pleaded as an insurer’s subrogation action. Cross-Complainants themselves assert contractual, indemnity, contribution, negligence, and declaratory-relief claims against BBII. The authorities cited by BBII do not establish, as a categorical rule, that one alleged insured is prohibited from asserting its own contractual or indemnity rights against another alleged insured merely because both may have coverage under a common policy.

More importantly for purposes of this demurrer, BBII’s argument depends upon insurance-policy terms, coverage determinations, and related factual matters that are not established by the face of the Cross-Complaint. As explained in connection with the RJN, the Court may not resolve those disputed factual matters by accepting as true declarations and documentary evidence submitted outside the pleading.

Accordingly, BBII’s co-insured argument does not establish a basis for sustaining the demurrer.

LEAVE TO AMEND

Leave to amend is appropriate where there is a reasonable possibility that a pleading defect can be cured. (*Blank v. Kirwan, supra*, 39 Cal.3d at p. 318.)

Here, Cross-Complainants may potentially be able to allege additional facts concerning physical property damage, the nature of their resulting injury, and the basis for any independent tort duty. The Court therefore grants leave to amend the Third Cause of Action.

DISPOSITION

Cross-Defendant Balfour Beatty Infrastructure, Inc.’s Demurrer is ruled upon as follows:

1. The demurrer to the **Third Cause of Action for negligence is SUSTAINED WITH LEAVE TO AMEND.**
2. The demurrer to the **Fifth Cause of Action for implied indemnity is OVERRULED.**
3. The demurrer to the **Sixth Cause of Action for comparative equitable indemnity is OVERRULED.**
4. The demurrer to the **Seventh Cause of Action for contribution is OVERRULED.**
5. The demurrer to the **Eighth Cause of Action for declaratory relief is OVERRULED.**
6. BBII’s contention that the Cross-Complaint is barred because Cross-Complainants and BBII allegedly are insured under the same insurance program does not establish grounds for demurrer.
7. BBII’s request for a stay based on the contractual dispute-resolution provisions is **DENIED without prejudice** to any procedurally proper request for such relief.

If the tentative ruling is uncontested, it shall become the order of the Court. Thereafter, counsel for the prevailing party shall prepare and submit for the Court’s signature a written order consistent with this ruling pursuant to California Rules of Court, rule 3.1312, and shall provide written notice of the ruling to all parties who have appeared in the action, as required by law. The parties are reminded that San Mateo County Superior Court Local Rule 3.403(b)(iv) requires the prevailing party on a tentative ruling to prepare a proposed

order **repeating verbatim the tentative ruling**. The proposed order shall be e-filed only; it shall not be emailed or mailed to the Court.

2:00 PM

LINE: 3

23-CIV-05077

DAWN CALVERT VS. NEWELL'S COCKTAIL LOUNGE

DAWN CALVERT
NEWELL'S COCKTAIL LOUNGE

PRO SE
WILLIAM S. KRONENBERG

DEFENDANT NEWELL'S COCKTAIL LOUNGE'S MOTION TO COMPEL RESPONSE TO WRITTEN DISCOVERY REQUESTS, SET ONE, AND FOR MONETARY SANCTIONS

TENTATIVE RULING:

The unopposed motion is denied without prejudice for failure to provide proof that the underlying discovery was properly served on plaintiff. The POS indicates the discovery was served on plaintiff electronically. Code of Civil Procedure section 1010.6, subdivision (c)(1) provides that an unrepresented party may consent to receive electronic service by serving notice on all parties and filing the notice with the court or by manifesting consent through electronic means with the court or the court's electronic filing service provider. Defendant has not established that plaintiff consented to electronic service.

If the tentative ruling is uncontested, it shall become the order of the Court. Thereafter, counsel for the prevailing party shall prepare and submit for the Court's signature a written order consistent with this ruling pursuant to California Rules of Court, rule 3.1312, and shall provide written notice of the ruling to all parties who have appeared in the action, as required by law. The parties are reminded that San Mateo County Superior Court Local Rule 3.403(b)(iv) requires the prevailing party on a tentative ruling to prepare a proposed order **repeating verbatim the tentative ruling**. The proposed order shall be e-filed only; it shall not be emailed or mailed to the Court.